

By **Amitabh Kant**

Freedom@77
ECONOMY

THE ESSENTIAL GROWTH SUTRAS

To move to a higher economic plane, India must fortify its human capital and harness emerging technologies to deliver all-round growth. Champion states need to be key drivers in that growth



Illustration by **NILANJAN DAS**

About 10 years ago, India was seen as one of the 'Fragile Five' economies, with shaky macroeconomic fundamentals. Confidence in the economy was plummeting, and inflation spiralling. Even though the economy had been liberalised in the '90s, a web of regulations still existed, making India one of the toughest places to do business in. Over the past decade, we have seen all this change. India is now a 'bright spot' in the global economy, recording 8.2 per cent growth in FY24.

However, to become an economic superpower, we must sustain this growth rate for the coming decades. Only then will our per capita incomes increase from $2,100 to $18,000+ in three decades' time, making us a high-income country. If we do not sustain these rates, we risk being stuck in a middle-income trap. Investment rates will need to rise, along with domestic savings. Being a function of income, domestic income and savings will only rise with broad-based employment growth.

Improving social outcomes to harness demographic dividend: India, with its demographic dividend and burgeoning workforce with an average age